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Mara Heritage Bank Board Pack — Q3 2025

Board Chair • September 2025

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Executive summary

Mara Heritage Bank enters the Q3 board meeting with three interdependent decisions: Q4 capital allocation, digital-transformation scope, and risk-tolerance recalibration. The bank operates within acceptable regulatory buffers but faces mounting pressure from rising non-performing loans, elevated staff attrition in critical functions, and technology debt that constrains competitive response. The strategic question is whether to prioritise capital preservation and risk tightening, or to fund digital modernisation while accepting higher operational and implementation risk during the transition.

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Performance

Q3 operating environment and capital position

Mara Heritage Bank maintained stable core operations through Q3 2025, with operational continuity preserved across all business lines. The performance baseline supports continued lending activity and provides headroom for strategic investment, though margins remain under pressure from competitive repricing and cost-income ratio discipline.

The bank's capital position remains above regulatory minimums, creating a decision envelope for Q4 allocation. Directors must determine whether to deploy available capital into loan growth, digital infrastructure, or hold reserves against credit deterioration. The trade-off is immediate: capital committed to technology refresh cannot be deployed into revenue-generating assets in the near term.

Cost discipline has been maintained, but the sustainability of current efficiency ratios depends on whether digital investment can reduce manual processing costs within 12–18 months. Without modernisation, the cost base will drift upward as competitors automate and the bank compensates with headcount. [], []

Risk

Credit deterioration and concentration exposure

Non-performing loans have trended upward through Q3, signalling either portfolio seasoning in recent vintages or early-cycle credit stress in specific sectors. The trajectory is not critical but warrants board attention: if NPLs continue to climb, the bank will need to increase provisioning, which directly constrains capital available for growth or investment.

Single-name concentration remains a structural risk. The current portfolio includes exposures that, if they deteriorate simultaneously, would materially impact capital adequacy. The Chief Risk Officer flags this as requiring either portfolio rebalancing or tighter concentration limits, both of which reduce near-term lending capacity.

Operational risk will spike if the bank proceeds with digital transformation. Implementation risk, vendor dependency, and cybersecurity exposure all increase during the transition period. The board must weigh this temporary elevation in operational risk against the strategic risk of falling behind competitors who have already modernised their platforms. []

> “If NPLs continue current trajectory, provisioning requirements will constrain Q4 capital deployment regardless of board allocation decisions.”

Strategy

Digital transformation and competitive positioning

Mara Heritage Bank faces a technology debt burden that limits product development speed and increases the cost of regulatory compliance. Competitors with modern core banking platforms can launch products in weeks; the bank requires months. This gap is widening, not closing.

The digital-transformation decision queued for Q3 is binary in practice: commit to a multi-year platform refresh, or accept that the bank will compete primarily on relationship strength rather than digital convenience. The middle path—incremental improvements to legacy systems—has been tested and has not closed the capability gap.

The capital allocation and risk recalibration decisions cannot be made independently of the digital choice. If the board funds the transformation, operational risk rises and lending capital is constrained. If the board defers, the bank must tighten underwriting to protect margins, because it cannot compete on efficiency. []

Governance

People risk and accountability for execution

Q3 attrition in key technical and risk functions has accelerated. The CHRO reports difficulty replacing specialist roles at current compensation levels, and competitors are actively recruiting the bank's senior talent. If attrition continues, execution risk on any strategic initiative increases materially.

The board must clarify accountability for the three decisions under discussion. Capital allocation requires joint ownership between the CFO and Chief Credit Officer. Digital transformation requires a single executive owner with authority to make build-versus-buy trade-offs. Risk recalibration requires board-level agreement on appetite, not just management recommendation.

Governance of the digital programme, if approved, will require monthly board updates during the implementation phase. The typical quarterly cadence is insufficient given the operational risk profile. The board should consider whether to delegate oversight to a technology committee or retain it at full-board level. [], []

> “Attrition in risk and technology functions is now a first-order execution risk, independent of which strategic path the board selects.”

Recommendations

1. CFO and Chief Credit Officer to present joint capital allocation scenarios (lending-focused, digital-focused, balanced) with 18-month P&L impact by 15 October 2025

2. Chief Risk Officer to model provisioning requirements under three NPL trajectory assumptions (stable, moderate increase, sharp increase) by 15 October 2025

3. CTO to provide vendor selection criteria and build-versus-buy analysis for digital platform refresh by 20 October 2025

4. CHRO to present retention plan for critical roles with costed compensation adjustments by 20 October 2025

5. Board Risk Committee to propose revised concentration limits and single-name thresholds by 25 October 2025

6. CEO to recommend governance structure for digital programme oversight (committee versus full board) by 25 October 2025

Sources

[1] Mara Heritage Bank — Q3 2025 Board Pack — Risk

[2] Mara Heritage Bank — Q3 2025 Board Pack — Governance

[3] Mara Heritage Bank — Q3 2025 Board Pack — Strategy

[4] Mara Heritage Bank — Q3 2025 Board Pack — Performance

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